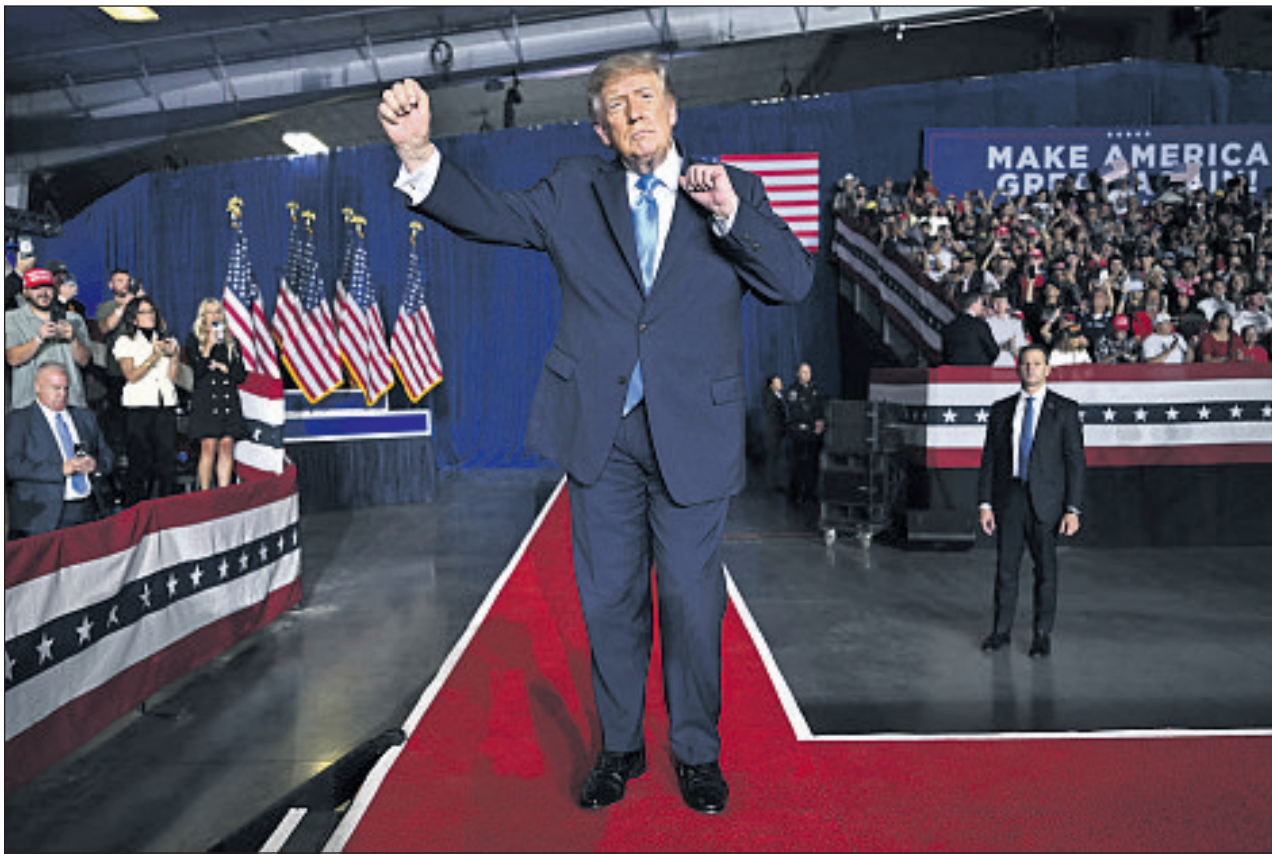




PRESIDENT TRUMP dances after his address at the campaign rally in Grand Island, Neb., on Monday.

KENT NISHIMURA AFP/Getty Images

Trump’s bashing of California hits a new extreme

Suggesting Iran could ‘take out’ L.A. and San Diego draws fierce condemnation.

By ANA CEBALLOS

WASHINGTON — As President Trump zigzags across the country in the final weeks before the mid-term elections, he has made California his favorite foil as he tries to fire up his base.

On Monday, he blamed the Golden State for the rising cost of gas, claimed without evidence that its elections are rigged, and at a Nebraska rally suggested Iran could “take out” Los Angeles and San Diego.

“It’s a small price to pay for keeping the world safe, keeping our country safe,” Trump said. “They can take out a city, let them take out Los Angeles, let them take out San Diego. This is a very small price to pay.”

The president’s team on Tuesday said his remarks were misunderstood, arguing the president “clearly”

stated that U.S. cities would have been threatened “if a nuclear Iran hadn’t been stopped.” Trump declined to clarify what he meant by his statements when asked by a reporter Tuesday.

But by then, Trump’s remarks had already drawn fierce condemnation from California leaders, including Republican Jim Desmond, a Navy veteran running in a highly competitive race that is key to helping Republicans retain control of the House.

“I vehemently disagree with President Trump’s comments,” Desmond wrote on social media. “America must stand up to Iran and defend our interests, but the first responsibility of our Commander in Chief is to protect the American people and our homeland.”

The backlash exposed the risk of Trump’s closing midterm strategy. Bashing California is a reliable applause line in red states like Nebraska, Alabama, Texas and Oklahoma, where the president has been holding rallies trying to ensure his [See Trump, A6]

LAUSD AT ‘HIGH RISK’ OF FISCAL RUIN

State agency blames increased hiring, raises, other costs. Union doubts findings.

By HOWARD BLUME

Pressure has intensified on Los Angeles Unified to follow through with emergency budget cuts after a California fiscal crisis oversight team concluded that the school district is at “high risk” for insolvency — and must move quickly to avoid losing control over budget decisions.

The state’s school Fiscal Crisis and Management Assistance Team has concluded that the poor financial outlook has been brought on by increased hiring as enrollment declined, employee raises that exceeded the rate of increased state funding, sharply higher costs for educating students with disabilities, and maintaining classroom space for twice as many students as needed.

“The district has not fully addressed deficiencies” identified by the Los Angeles County Office of Education in its fiscal oversight letters, the team stated in a report presented to the school board Tuesday. “The district has not sufficiently adjusted staffing and facilities use in response to declining enrollment.”

The financial troubles are especially concerning because the Los Angeles Unified School District has failed to meet past budget reduction targets, the report concluded, and the stakes [See LAUSD, A7]

Millennials choose surprising landing spots

Where Californians relocate diverges by age

By Terry Castleman

Erika Lee, 30, grew up in Diamond Bar, attended USC and started her career in Southern California.

But then she pivoted to crypto and, in February, moved from an apartment in West Hollywood to San Francisco for a job at an artificial intelligence insurance startup.

“I didn’t expect to like it so much,” Lee said of San Francisco. “I just thought it would be a good opportunity in an industry that is really thriving.”

Lee represents one aspect of a generational gap in California’s latest demographic shift.

Discussions about such changes often focus on the “California exodus,” or people leaving the Golden State in search of more affordable living, lower taxes and a change of pace.

But new data show that the latest demographic shifts — within and out of California — have relocated people to very various destinations based on their age, and presumably their income level.

Boomers, for example, are decamping to places like Arizona, Nevada and Texas, the data show.

When it comes to much younger Californians, moving is actually hard to do. And when they do, it’s to places like Oregon, Utah and Colorado.

And then there are young Angelenos like Lee, who are staying in the state but moving to the Bay Area amid the AI boom. San Francisco is one destination. But another one, surprisingly, is Fresno, which offers a strong job market and significantly cheaper housing prices than in coastal areas.

Since 2021, Fresno has seen “a lot of relocation from the Bay Area and Los Angeles,” said Fresno Mayor Jerry Dyer.

The change began with families relocating to Fresno but working remotely, he said. But now, younger people are also moving in, pushing the age of the average Fresno resident to 31, well below the statewide figure.

“Cost of living [See Moving, A6]

Couple in Arcadia charged with child abuse conspiracy

Authorities say pair have 21 offspring, most of whom endured beatings at mansion.

By JAMES QUEALLY

A couple with 21 children — 19 of whom were born through surrogates — ran a “house of horrors” at a sprawling Arcadia mansion, prosecutors said Tuesday, alleging that the pair employed a group of nannies who were encouraged to administer beatings and other punishments.

Prosecutors said that the incidents were captured on camera — and that the parents could be seen

laughing at times as their children were forcefully disciplined.

Guojun Xuan, 66, and his wife, 39-year-old Silvia Zhang, were charged Tuesday with multiple counts of conspiracy to commit child abuse and witness intimidation, according to Los Angeles County Dist. Atty. Nathan Hochman. Xuan is also charged with one count of directly abusing a child. The couple are charged with helping one of the nannies avoid arrest after she allegedly hit a 2-month-old so hard he suffered a brain bleed, according to court records and a police affidavit.

The couple, who immigrated from China, pleaded not guilty during a lengthy appearance in a Pasadena

courtroom Tuesday afternoon where attorneys argued over their wealth and the likelihood they would flee the U.S. before trial.

Xuan’s attorney, Mitchell Krems, said outside the courthouse that the children “love” Xuan and Zhang, who are being vilified due to anti-Chinese racism. Xuan was seated in a wheelchair with a bandage on the back of his neck and intravenous ports sticking out of his chest. Krems said Xuan recently had a bone marrow transplant and is suffering from a rare form of leukemia.

Hochman said the couple founded a surrogacy company in 2021 and duped several women into carry- [See Arcadia, A7]



GENARO MOLINA Los Angeles Times

DAVID ELLISON bolstered his empire last year by buying Paramount. Above, a couple is ready for a tour.

Paramount deal for Warner closes

Shares of the merged company, now called Skydance, have their first day of trading.

By MEG JAMES

David Ellison emerged with his prized Hollywood juggernaut Tuesday as the merger of Paramount Skydance and Warner Bros. Discovery officially closed.

The \$111-billion transaction culminated a year-long battle by the 43-year-old tech scion to add Warner Bros. Discovery to his family’s growing portfolio. Ellison’s smaller Paramount fended off the deep-pocketed streaming giant Netflix, hundreds of Hollywood merger opponents and, ultimately, a group of 12 state attorneys general, led by California’s Rob Bonta, to stitch up the coveted acquisition.

The Ellison family now controls one of the largest

traditional media companies ever formed, with HBO, CNN, CBS, Comedy Central, TBS, Food Network, two traditional Hollywood studios and two major streaming services. His father, Larry Ellison, co-founded Oracle Corp., which owns a substantial stake in the popular social media platform TikTok.

“Today is a historic day, not just for Skydance but for our entire industry,” David Ellison, the company’s chair and chief executive, said in a Tuesday statement. “Our ambition was to bring these two storied studios together and create a stronger competitor, with the talent, resources, and reach to tell great stories in every genre, on every platform, for audiences everywhere.”

“Now that ambition is a reality,” he said.

David Ellison will face considerable challenges bringing together the prominent brands and workplace [See Paramount, A11]

Woman accused of spying for China

Irvine resident collected, relayed information about a Taiwanese VIP, FBI agents say. CALIFORNIA, B1



MIKE STEWART AP

Dodgers regain lead in series

Yamamoto helps L.A. to a 3-1 victory over Atlanta in Game 3. For full coverage, go to latimes.com/dodgers or see our eNewspaper, where subscribers get an exclusive “Playoffs Extra.”

Televangelist fell from grace

Jim Bakker, dead at 86, built an empire but went to prison. NATION, A8

Prime Video gets Emmy Awards

Streamer’s deal comes amid bid for wider audience. BUSINESS, A9

Weather

Very hot. L.A. Basin: 97°/72. B6

For the latest news, go to latimes.com.



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Seeking clues to coexistence with donkeys

By CLARA HARTER

For students at UC Riverside, the start of fall semester means picking up their class syllabus, catching up with friends and snapping selfies with the adorable wild donkeys that roam around the school.

The hooved Highlanders have been embraced as an unofficial mascot on campus, with Reddit threads dedicated to donkey spotting and burro plushies for sale in the campus store.

The animals’ relationship with residents in the surrounding hillside communities of the Inland Empire is more complicated.

Though many residents share a love for the wild bur-



STAN LIM UC Riverside

RESEARCHERS at UC Riverside are studying wild donkeys that live nearby and mingle with humans.

ros, others see them as a public safety risk due to the possibility of car crashes, property damage or injuries during close encounters.

And when it comes to decisions about how best to manage the population, tensions often run high.

A community firestorm erupted after San Bernardino County contracted with a Texas-based nonprofit to relocate hundreds of wild donkeys to a sanctuary in the Lone Star State, resulting in death threats against the nonprofit’s leader and ultimately leading officials to terminate the agreement last year.

Outrage was sparked again this year after reports that someone (or possibly [See Donkeys, A8]